

FRAUD DATA & TRANSACTION MONITORING POLICY

Document ID: FDP-001

Version: 1.0

Status: Active

Effective Date: 01 June 2026

Review Frequency: Quarterly

Classification: Internal

Document Type: Synthetic / Illustrative Enterprise Policy

Important Notice

This document is a synthetic policy created exclusively for an enterprise fraud intelligence and governed RAG portfolio project. It does not represent the policy of any real financial institution, organization, or regulatory authority.

1. Purpose

This policy defines the rules, thresholds, risk classifications, monitoring requirements, alert-handling procedures, and escalation requirements used by the enterprise fraud intelligence platform.

The policy establishes a common framework for:

- identifying potentially fraudulent transactions;
- identifying high-value transactions;
- monitoring transaction velocity;
- evaluating merchant risk;
- managing fraud watchlist records;
- classifying fraud risk;
- determining investigation and escalation requirements;
- supporting fraud analysts and investigators;
- maintaining consistent fraud terminology and business definitions;
- enabling governed analytics over approved fraud data.

This policy is intended to serve as the authoritative business-policy reference for the Enterprise Fraud Intelligence Platform.

2. Scope

This policy applies to fraud monitoring and analysis involving:

- payment transactions;
- card transactions;
- merchants;
- customers;
- fraud alerts;
- fraud watchlist entities;
- high-value transactions;
- transaction velocity;
- international transactions;
- merchant risk;
- suspicious activity;
- fraud investigation and escalation.

The policy applies to fraud intelligence processes consuming approved enterprise Gold datasets.

Existing fraud data engineering pipelines and their source systems are outside the scope of this document and must not be modified solely to implement this policy.

3. Authoritative Policy Principle

For fraud intelligence purposes, policy definitions contained in this document take precedence over informal descriptions, generated reports, or conversational interpretations.

The system must distinguish between:

1. **Policy evidence** — definitions, thresholds, rules, required actions, and exceptions contained in this policy.
2. **Structured fraud evidence** — approved records contained in governed Gold tables.
3. **Enterprise knowledge evidence** — supporting documents and reports.
4. **External evidence** — information obtained from explicitly authorized external research sources.

The AI system must not treat an arbitrary document or generated report as an executable policy rule.

4. Core Fraud Definitions

4.1 High-Value Transaction

A transaction is classified as a **High-Value Transaction** when:

The transaction amount is greater than INR 100,000.

Rule

```
transaction_amount > 100000
```

Transactions equal to INR 100,000 are **not** classified as high-value under this rule.

Required Data

Primary data attributes:

- transaction amount;
- transaction timestamp;
- transaction ID;
- customer ID;
- merchant information;
- transaction status.

Primary Gold dataset:

```
high_value_transactions_alert
```

5. High-Value Transaction Monitoring

High-value transactions require enhanced monitoring.

When a high-value transaction is identified, the system should evaluate:

- transaction status;
- customer history where authorized;
- merchant risk;
- international status;
- payment channel;
- transaction type;
- associated fraud alerts;
- applicable watchlist records.

A high-value transaction by itself does **not** establish that fraud occurred.

The distinction must be maintained between:

High-value transaction

and

Confirmed or suspected fraudulent transaction.

6. Transaction Velocity Monitoring

Transaction velocity refers to the frequency or volume of transactions occurring within a defined time period.

The following monitoring windows are recognized:

One-Minute Window

Transactions are monitored using one-minute aggregation windows.

Primary dataset:

```
transaction_count_by_minute
```

Five-Minute Sliding Window

Transactions are also monitored using five-minute sliding windows.

Primary dataset:

```
transaction_count_by_minute_sliding_window
```

Velocity Rule

A velocity condition is considered potentially suspicious when:

More than 100 transactions occur within a five-minute sliding window.

```
transaction_count > 100
```

This condition is a **velocity-fraud indicator** and does not independently establish confirmed fraud.

Additional investigation may be required before a fraud determination is made.

7. Velocity Risk Classification

Velocity observations should be interpreted as follows:

Transaction Count	Risk Interpretation
0–50	Normal monitoring
51–100	Elevated monitoring
101–200	High velocity
>200	Critical velocity

These thresholds are analytical monitoring thresholds and should not be interpreted as definitive proof of fraudulent activity.

8. Merchant Risk Management

Merchants are assigned one of the following risk classifications:

- LOW
- MEDIUM
- HIGH

A merchant may also have a blacklist status.

LOW

A low-risk merchant does not currently meet the defined criteria for elevated merchant monitoring.

MEDIUM

A medium-risk merchant requires enhanced monitoring relative to a low-risk merchant.

HIGH

A high-risk merchant requires enhanced monitoring and may require additional fraud investigation depending on associated transaction or alert activity.

BLACKLISTED

A blacklisted merchant is subject to enhanced fraud controls and requires investigation of relevant transactions according to applicable procedures.

9. Merchant Blacklist Rule

A merchant is considered **blacklisted** when its approved merchant record contains:

```
is_blacklisted = true
```

Transactions involving a blacklisted merchant must be considered high-priority fraud monitoring events.

A blacklist status does not by itself prove that every transaction associated with the merchant is fraudulent.

Primary data attributes include:

- merchant ID;
- merchant name;
- merchant category;
- merchant risk;
- blacklist status;
- country;
- city.

10. International Transaction Monitoring

International transactions require additional monitoring when:

```
is_international = true
```

International transactions should be evaluated together with:

- transaction amount;
- merchant risk;
- transaction type;
- payment channel;
- customer history where authorized;
- fraud alert information;
- watchlist information.

An international transaction alone does not constitute fraud.

11. Fraud Watchlist

The fraud watchlist contains entities associated with suspected, reported, or investigated fraudulent activity.

Watchlist records may contain:

- entity ID;
- risk level;
- action;
- reason code;
- reason description;
- status;
- effective date;
- reporting team;
- reporting source.

Primary watchlist risk levels are:

- LOW
 - MEDIUM
 - HIGH
 - CRITICAL
-

12. Watchlist Actions

The supported watchlist actions are:

ADD

Adds an entity to the fraud watchlist.

REMOVE

Removes an entity from the fraud watchlist when authorized according to investigation procedures.

UPDATE

Updates an existing watchlist record.

Only authorized fraud personnel may perform operational watchlist actions.

The AI platform is an analytical system and must not independently modify operational watchlist records.

13. Watchlist Status

ACTIVE

An active watchlist record is currently applicable to fraud monitoring.

INACTIVE

An inactive record should not be treated as an active fraud-watchlist match unless historical analysis explicitly requires it.

For analytical queries, the default behavior should be:

```
status = 'ACTIVE'
```

unless the user explicitly requests historical or inactive records.

14. Fraud Risk Levels

Fraud risk should be classified using the following hierarchy:

Risk Level	Meaning
LOW	Limited indicators of suspicious activity
MEDIUM	Elevated indicators requiring monitoring
HIGH	Significant indicators requiring investigation
CRITICAL	Severe indicators requiring immediate investigation and escalation

Risk level represents the assessed risk associated with a watchlist or fraud record. It does not necessarily establish that a transaction or customer has committed fraud.

15. Fraud Types

The fraud intelligence platform recognizes the following fraud categories:

- PHISHING
- STOLEN_CARD
- ACCOUNT_TAKEOVER
- MONEY_LAUNDERING

- COMPROMISED_DEVICE
- VELOCITY_FRAUD
- BLACKLISTED_MERCHANT
- TEST_TRANSACTION
- SUSPICIOUS_ACTIVITY
- LOST_CARD

These categories may be extended as new fraud patterns are approved.

16. Fraud Alert Classification

Fraud alerts may originate from multiple detection processes.

Examples include:

- high-value transaction alerts;
- card transaction alerts;
- velocity alerts;
- merchant-risk alerts;
- watchlist matches;
- suspicious-activity indicators.

An alert is an **indicator requiring analysis**, not automatic proof of fraud.

17. Card Alert Monitoring

Card-related alerts should consider:

- alert type;
- alert timestamp;
- transaction ID;
- customer ID;
- merchant;
- transaction amount;
- transaction country;
- transaction city;
- payment channel;
- device;
- international status.

Primary dataset:

fraud_card_alert

18. Sensitive Data Handling

Fraud datasets may contain personally identifiable information and payment-card information.

Examples include:

- customer ID;
- customer name;
- customer email;
- card number;
- transaction information.

Sensitive attributes must be governed using enterprise authorization and data-access controls.

Card Number

Full payment-card numbers must **not** be exposed to the generative AI model during normal analytical workflows.

The AI platform should prefer:

- masked card identifiers;
- tokenized identifiers;
- aggregated results;
- non-sensitive transaction identifiers.

The system must not retrieve unnecessary sensitive columns merely because they exist in a Gold table.

19. Approved Analytical Data Sources

The following Gold datasets are approved for fraud intelligence analytics.

19.1 Fraud Card Alerts

fraud_card_alert

Primary analytical purpose:

- card fraud alert analysis;
 - transaction-level alert investigation;
 - merchant analysis;
 - international transaction analysis.
-

19.2 High-Value Transaction Alerts

high_value_transactions_alert

Primary analytical purpose:

- high-value transaction monitoring;
- transaction threshold analysis;
- high-value alert analysis;
- policy threshold validation.

19.3 Transaction Count by Minute

transaction_count_by_minute

Primary analytical purpose:

- one-minute velocity analysis;
- transaction-volume monitoring;
- anomaly detection.

19.4 Transaction Count by Sliding Window

transaction_count_by_minute_sliding_window

Primary analytical purpose:

- five-minute velocity monitoring;
- high-volume transaction analysis;
- velocity-fraud indicators.

20. Policy-to-Data Mapping

The following mappings are authoritative for policy-aware analytics.

Policy Concept	Policy Rule	Gold Data
High-value transaction	amount > 100,000 INR	high_value_transactions_alert

Policy Concept	Policy Rule	Gold Data
Blacklisted merchant	<code>is_blacklisted = true</code>	merchant-risk data / approved merchant dataset
International transaction	<code>is_international = true</code>	<code>fraud_card_alert</code> , <code>high_value_transactions_alert</code>
Active watchlist	<code>status = ACTIVE</code>	fraud watchlist
Critical fraud	<code>risk_level = CRITICAL</code>	fraud watchlist
High fraud risk	<code>risk_level = HIGH</code>	fraud watchlist
Five-minute high velocity	<code>count > 100</code>	<code>transaction_count_by_minute_sliding_window</code>
One-minute transaction monitoring	one-minute aggregation	<code>transaction_count_by_minute</code>
Card alert	approved card alert record	<code>fraud_card_alert</code>

21. Policy-Aware Fraud Analysis

When a user asks a question requiring both policy and transaction data, the system must combine:

1. the applicable policy rule;
2. the approved Gold data;
3. authorization controls;
4. analytical computation;
5. policy-aware reasoning.

Example:

Which transactions violated the high-value transaction policy on August 11, 2026?

The system should:

1. retrieve the authoritative high-value threshold from this policy;
2. identify the approved Gold dataset;
3. query authorized transaction records;
4. apply the threshold;
5. return the calculated result;
6. cite the applicable policy;

7. provide data evidence.

The model must not independently invent the threshold.

22. Policy Rule Interpretation

Policy rules should be interpreted deterministically whenever possible.

For example:

```
High-value threshold = 100000 INR
```

must be converted into a deterministic analytical condition:

```
transaction_amount > 100000
```

The generative AI model should explain the result but should not alter the policy threshold.

If a policy rule is ambiguous, conflicting, expired, or unavailable, the system should report that limitation instead of inventing a rule.

23. Effective Dates

Every policy rule should be evaluated against its effective date where applicable.

Current policy effective date:

01 June 2026

For historical analysis, the system should determine whether the relevant policy version was effective during the requested period.

Future policy versions must not be applied to historical transactions unless the user explicitly requests a hypothetical analysis.

24. Policy Exceptions

Exceptions may be introduced through separately approved enterprise policy documents.

An exception must contain, where applicable:

- exception ID;
- affected rule;
- effective date;
- expiration date;
- scope;
- authorized approver;
- affected business unit;
- exception conditions.

The AI system must not infer exceptions from conversational statements.

25. Investigation Requirements

High-priority investigation should be considered when one or more of the following are present:

- critical fraud risk;
- high fraud risk;
- blacklisted merchant involvement;
- significant velocity anomaly;
- multiple fraud indicators;
- suspicious international activity;
- high-value transaction combined with another significant fraud indicator;
- active fraud watchlist match.

A single indicator should not automatically be represented as confirmed fraud unless an authoritative source explicitly establishes that status.

26. Escalation

The following escalation guidance applies:

Condition	Recommended Handling
LOW	Standard monitoring
MEDIUM	Enhanced monitoring
HIGH	Fraud investigation
CRITICAL	Immediate investigation and escalation
Blacklisted merchant	High-priority review

Condition	Recommended Handling
Velocity >200 / 5 min	Critical velocity review
High-value + additional fraud indicator	Enhanced investigation

These are analytical and operational guidance rules for the synthetic portfolio environment.

27. AI System Restrictions

The Enterprise Fraud Intelligence Platform must not:

- modify fraud Gold tables;
- delete fraud records;
- modify watchlist records;
- change policy thresholds;
- invent policy rules;
- bypass authorization;
- expose restricted customer information;
- expose full payment-card numbers;
- treat generated content as authoritative policy;
- claim an alert is confirmed fraud without supporting evidence.

The AI platform is primarily an **analysis and decision-support system**.

28. Natural-Language Fraud Analytics

The platform may translate authorized natural-language questions into controlled analytical operations.

Examples:

Example 1 — Structured Analytics

Question:

How many high-value transactions occurred on August 11, 2026?

Required route:

```
FRAUD_ANALYTICS
↓
query_fraud_data()
```

↓
high_value_transactions_alert

Example 2 — Policy Question

Question:

What is the threshold for a high-value transaction?

Required route:

ENTERPRISE_KNOWLEDGE
↓
AI Search
↓
Fraud Data & Transaction Monitoring Policy

Example 3 — Policy + Data

Question:

Which transactions exceeded our high-value transaction policy on August 11, 2026?

Required route:

MULTI_DOMAIN
|
├─ Policy RAG
| ↓
| High-value threshold
└─ Fraud Analytics
 ↓
 Gold transaction data
 └─┬─┘
 ↓
 Policy-aware analysis

29. Supervisor Routing Guidance

The Supervisor should classify questions into the following domains:

DIRECT

Greetings, conversational questions, or requests that do not require enterprise data.

FRAUD_ANALYTICS

Questions answerable primarily through approved structured fraud Gold data.

ENTERPRISE_KNOWLEDGE

Questions requiring enterprise documents, policies, procedures, or reports.

EXTERNAL_RESEARCH

Questions explicitly requiring authorized external information.

MULTI_DOMAIN

Questions requiring two or more evidence sources, such as:

- fraud policy + Gold transaction data;
- merchant risk + fraud transactions;
- watchlist + transaction alerts;
- policy + fraud analytics + enterprise report.

UNKNOWN

Requests requiring clarification or unsupported resources.

30. Evidence Requirements

Answers involving fraud intelligence should distinguish between:

Policy Evidence

What the organization says should happen.

Data Evidence

What the enterprise data shows happened.

Analytical Conclusion

What can reasonably be concluded by comparing the policy against the data.

The response should not blur these categories.

31. Citation Requirements

Policy-derived statements should cite the applicable policy document and section.

Data-derived statements should identify the relevant dataset.

For example:

The high-value transaction threshold is greater than INR 100,000.

Source: Fraud Data & Transaction Monitoring Policy, Section 4.1.

On August 11, 2026, 14 transactions exceeded this threshold.

Data Source: `high_value_transactions_alert`.

32. Governance and Authorization

Access to fraud intelligence must be controlled using:

- enterprise identity;
- role-based access;
- attribute-based access where required;
- Unity Catalog permissions;
- table and column-level controls;
- application authorization;
- document-level authorization;
- metadata-based filtering.

Authorization must occur before sensitive data is included in model context.

Passing the application security boundary does not automatically grant access to every fraud dataset or every document.

33. Data Minimization

Analytical queries should retrieve only the columns required to answer the user's question.

For example, a question asking:

How many high-value transactions occurred yesterday?

should not retrieve:

- customer email;
- customer name;
- card number.

The preferred query should use only the required analytical fields.

34. Auditability

The system should maintain audit information for:

- user identity;
- user request;
- policy consulted;
- Gold tables accessed;
- tools invoked;
- authorization decision;
- retrieved documents;
- generated answer;
- citations;
- model used;
- timestamp;
- guardrail decisions.

This information supports investigation, governance, and evaluation.

35. Policy Versioning

Policies are version-controlled.

For each policy version, maintain:

- document ID;

- version;
- effective date;
- expiration date;
- status;
- approved owner;
- change summary.

Only the active applicable policy version should be used for current analysis.

Historical versions must remain available for historical analysis.

36. Conflict Resolution

If two policy documents provide conflicting rules, the system must not silently choose one.

The preferred resolution order is:

1. explicitly designated authoritative policy;
2. latest approved policy version;
3. applicable policy based on effective date;
4. applicable business-unit policy;
5. escalation/clarification when ambiguity remains.

The system should disclose unresolved policy conflicts.

37. Policy Change Management

Changes to thresholds, risk definitions, fraud categories, or monitoring rules must be approved and versioned.

Changes must not be introduced solely through an LLM prompt or generated response.

When a policy changes, downstream analytical mappings should be reviewed.

38. AI Interpretation Principles

The AI system should:

- use policy as authoritative business context;
- use Gold data as authoritative analytical evidence;
- perform deterministic calculations where possible;

- clearly distinguish facts from interpretations;
- cite supporting evidence;
- respect authorization;
- minimize sensitive data;
- avoid unsupported conclusions;
- identify uncertainty.

The AI system should not:

- fabricate missing data;
 - invent policy thresholds;
 - infer authorization;
 - expose restricted information;
 - convert natural-language speculation into fact.
-

39. Examples of Supported Questions

Policy

What qualifies as a high-value transaction?

Fraud Analytics

How many high-value transactions occurred on August 11?

Velocity

Which five-minute windows exceeded the velocity threshold?

Merchant Risk

How many transactions involved blacklisted merchants?

Watchlist

How many active critical-risk watchlist records exist?

Multi-Domain

Which high-value transactions also involved blacklisted merchants?

Policy-Aware

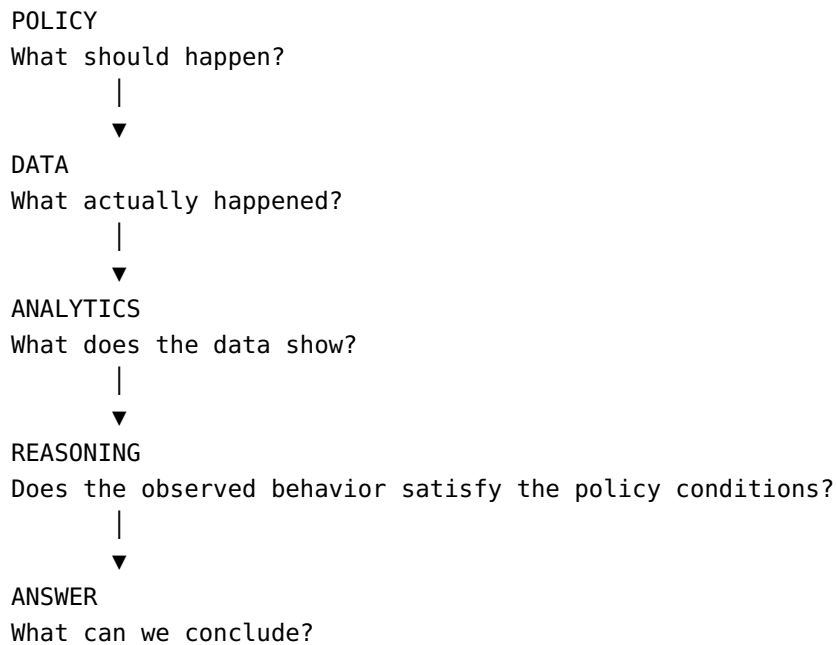
Which high-value transactions met another fraud indicator and therefore require enhanced investigation?

Historical

Was the high-value threshold applicable to transactions occurring on May 15, 2026?

40. Final Policy Principle

The Enterprise Fraud Intelligence Platform must maintain a clear separation between:



This separation is mandatory for trustworthy policy-aware fraud intelligence.

Document End

Document ID: FDP-001

Version: 1.0

Status: Active

Classification: Internal

Effective Date: 01 June 2026

Synthetic Portfolio Artifact: Yes